

Calderwood Partners LLC

www.calderwoodpartners.com

May 4, 2022

DRAFT -- superseded by the final version; not for distribution

James Keller
Director of Operations
Walker-Murray

Dear Mr. Keller:

This letter sets down the terms on which our firm will undertake the Margin Recovery Program for Walker-Murray, and once you have signed and returned the copy enclosed with it, it will stand as the agreement between us. I have written it in the plain register we prefer for such things, so that it reads as a faithful account of the conversation we have already had rather than as an instrument to be parsed for advantage, and I would ask you, before you sign, to tell me if any part of it sits at odds with how you understood what we agreed.

What the Program Covers

The program is directed at a single question, which is where the margin that Walker-Murray earns today is being lost between the revenue it books and the profit it keeps, and what can be done, in the ordinary running of the business, to recover a meaningful part of it. We will work through the operating model, the cost base, and the commercial terms on which the business sells, in that order, because the causes of a margin gap ordinarily lie in more than one of them and the remedies interact with one another; and we will hold ourselves throughout to recommendations your own people can actually carry out, rather than to the more elegant kind that survive only on paper.

What the engagement does not extend to is the running of the company, which remains yours, or to legal, tax, and accounting advice, on which you should continue to rely on the advisers who ordinarily provide it; where our analysis touches those matters we will offer a considered view and say plainly that it is that and not a professional opinion in their place. I should add, so that it is on the record from the outset, that if we ever describe this program to anyone outside it we will describe it as one representative example of the firm's work and never as the whole of what we do.

The Team You Will Work With

Jason Torres, a Principal of the firm, will own the relationship with you and will be the person to whom you bring any question of substance; he is accustomed to telling a client what the analysis shows rather than what is easiest to hear, and you should expect that of him. Working with him, James Green, a Senior Associate, will build and maintain the models and the exhibits on which our conclusions rest, and will annotate them so that any figure we place before you can be traced back to where it came from, while Melissa Casey, a Research Associate, will assemble the status packs and the periodic reports through which you will follow the work. I will keep my own hand on the engagement at the points where a judgment must be made about how far a recommendation can be pressed before it outruns what we actually know, and nothing of consequence will leave the firm under our name without my having read it first.

Fees and Payment

Our fee for the program as I have described it is a fixed sum of \$52,000, which covers the time of the people named above through the expected close of the work, and we will render invoices against that amount as the engagement proceeds, each payable within thirty days of your receipt of it. The fee covers our people and their time and not the incidental costs of the work, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us; and should the shape of the work change materially from what this letter contemplates, I will raise the question of the fee with you and we will settle it together before any further work is done, so that nothing reaches you on an invoice as a surprise.

Commencement, Term, and Termination

We expect to begin the work on May 14, 2022 and to carry it for something on the order of seven months, though I would sooner we treat the engagement as complete when the work is genuinely done than fix its end to a date on the calendar. Either of us may bring it to an end on fourteen days' written notice to the other; and if you should choose to do so, you will owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Walker-Murray in the course of this work we will hold in confidence and use only for the purposes of the engagement, and that obligation

binds every member of our team, survives the end of our work, and covers the fact of our involvement as fully as it covers its substance. We ask the same of you in respect of the written methods and materials we share with you, which represent the firm's own way of working and are not ours to give away.

Limitation of Liability

We will perform the work with the care and skill you are entitled to expect of a firm engaged for it, and we will stand behind what we do. We do not, however, govern the decisions your leadership will ultimately take, nor the conditions of the markets in which Walker-Murray operates, and so, save to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be determined by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder will continue in force, unaffected by it.

If this letter reflects the understanding we reached, I would be grateful if you would sign the enclosed copy where indicated below and return it to me, keeping the other for your own file; and once your signed copy is in my hands, Jason Torres will write to you within the week to fix the first meetings and the initial requests for information, so that we can begin without delay.